Balance Sheet

What Is a Balance Sheet?

The term balance sheet refers to a financial statement that reports a company's assets, liabilities, and shareholder equity at a specific point in time. Balance sheets provide the basis for computing rates of return for investors and evaluating a company's capital structure.

In short, the balance sheet is a financial statement that provides a snapshot of what a company owns and owes, as well as the amount invested by shareholders. Balance sheets can be used with other important financial statements to conduct fundamental analysis or calculate financial ratios.

What Is Capital Structure?

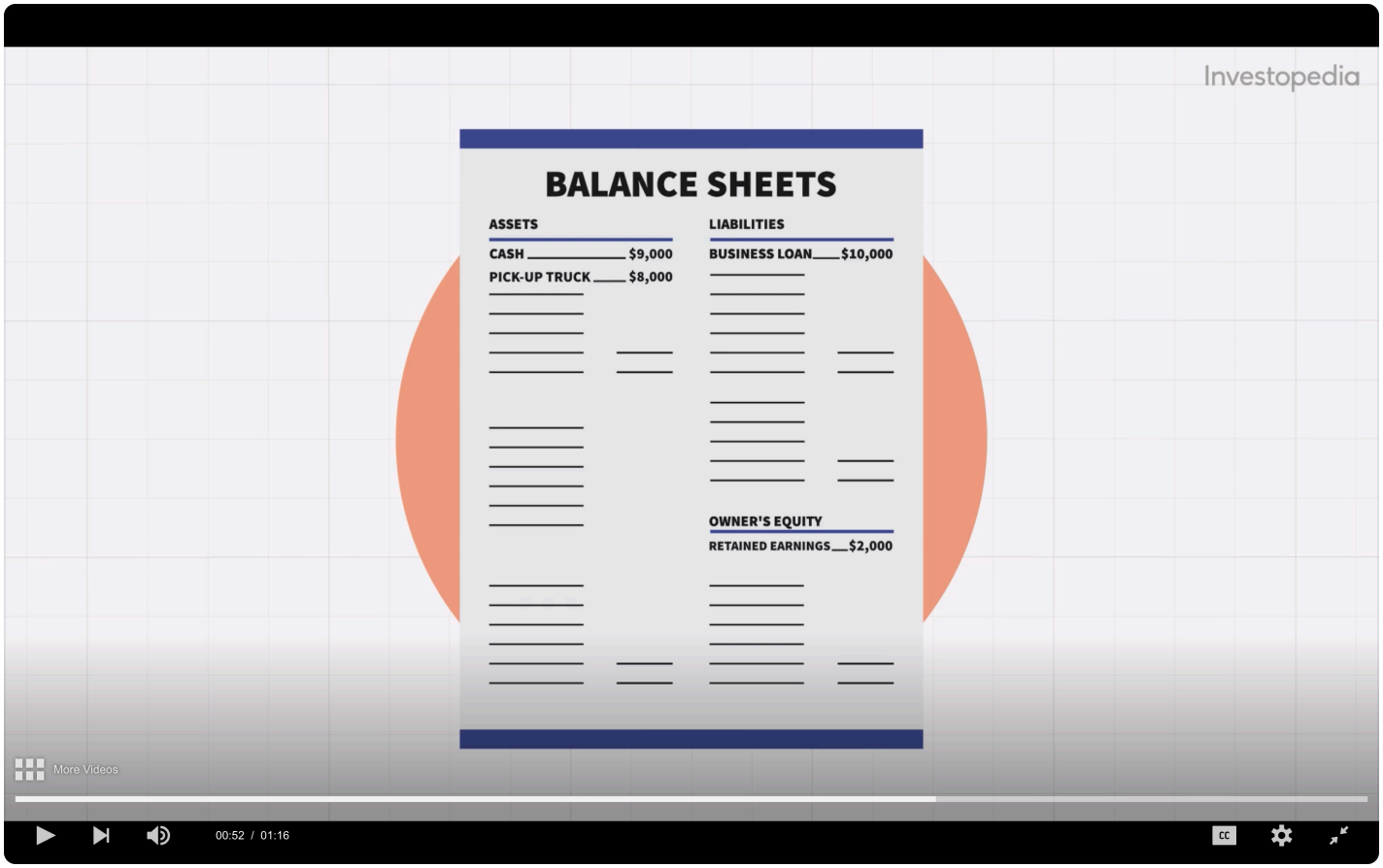
Capital structure describes the mix of a firm's long-term capital—a mix of debt and equity—that it uses to fund its ongoing operations and future growth. A company's capital structure is reflected on its balance sheet. Investors may analyze a company's capital structure on its balance sheet to assess if it's a strong investment.

Debt (from lenders) and equity (via investors) are two of the main ways a company can raise money. A company's debt typically includes its short-term borrowing, long-term debt, and a portion of the principal amount of operating leases and redeemable preferred stock. Equity is a company's common and preferred stock, plus retained earnings.

Financial statements are reports compiled by businesses that detail the company's financial activities and health. Financial statements are often audited by government agencies and accountants to ensure accuracy and for tax, financing, or investing purposes.

The primary financial statements of for-profit businesses include the balance sheet, income statement, statement of cash flow, and statement of changes in equity. Nonprofit entities use a similar set of financial statements, though they have different names and communicate slightly different information.


Investopedia
DEBT
More Videos
00:14 / 01:16


Investopedia
BALANCE SHEETS
ASSETS
CASH $9,000
PICK-UP TRUCK $8,000
LIABILITIES
BUSINESS LOAN $10,000
OWNER'S EQUITY
RETAINED EARNINGS $2,000
More Videos
00:52 / 01:16